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Finall Form DETERMINANTS OF FINANCIAL PERFORMANCE IN ISLAMIC BANKING IN PAKISTAN

Thesis

Document Details

Submission ID

trn:oid:::3618:125504147

Submission Date

Jan 2, 2026, 12:52 PM GMT+5

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File Name

Finall Form DETERMINANTS OF FINANCIAL PERFORMANCE IN ISLAMIC BANKING IN PAKISTAN.docx

File Size

115.2 KB

40 Pages

9,271 Words

51,409 Characters

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DETERMINANTS OF FINANCIAL PERFORMANCE IN ISLAMIC BANKING IN PAKISTAN

Thesis 1 submitted

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Faculty of Management Sciences

In partial fulfilment of The requirement for the degree of

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12/20/202

ABSTRACT

This paper explores the financial performance determinants in the full-fledged Pakistani Islamic banking industry located in the harsh environment of the recent 2022 ruling of the Federal Shariat Court requiring an immediate shift to a Riba-free economy. The main aim is to investigate empirically the impact of certain internal and external variables on the sustainability and profitability of these institutions as they are pressured to scale. Using a quantitative research methodology, which is deductive, the research is based on a longitudinal panel study on sixteen years (20102025) of data collected by auditing the financial accounts of full-fledged Islamic banks listed on Pakistan Stock Exchange. The discussion model is the Panel Data Regression which is used to measure the influence of Capital Adequacy Ratio (CAR), Credit Risk (Non-Performing Financing), Cost Efficiency (CE) and Real GDP Growth on Return on Assets (ROA). Based on the Resource-Based View and the Buffer Theory of Capital, this study represents a big gap because it does not mix them with Islamic windows but only concentrates on standalone Islamic banks. The paper will offer essential evidence-based recommendations to the State Bank of Pakistan and bank management to maximize capital structure and operating strategies so that the sector can remain financially viable in the current historic economic transformation.

Keywords Islamic Banking, Financial Performance, ROA, Capital Adequacy, Credit Risk, Pakistan.

CHAPTER 1: INTRODUCTION

1.1 Background of the Study

Financial environment has been seen the paradigm shift in the past 30 years and a system changing to the dual-banking one, with the Islamic finance system taking a central and systemically significant position. No country has more clearly experienced this change than the Islamic Republic of Pakistan, whereby the constitutional requirement and popular opinion have been unified over time towards eradicating Riba (interest) in the economy. The history of Islamic banking in Pakistan can be termed as not only an account of financial engineering, but rather an account of perseverance, legal development and struggle to balance economic machineries with Shariah guidelines and still be viable enough to compete with the global market.

The origin of this industry in Pakistan is dates back to the early efforts in the 1980s which were mostly criticized as being cosmetic. Nevertheless, the real history of Islamic banking in the present day Pakistan can be traced back to the re-launched strategic direction by the State Bank of Pakistan (SBP) at the beginning of the 2000s. In 2002, the first standalone Islamic banking license to Meezan Bank was issued and this watershed moment changed the industry to an experiment at its niche but a commercial reality. Islamic banking is no longer a skeptical concept as it was in the olden times in terms of its scaling capacity because the past two decades have shown that Shariah compliant banking is not only viable but also strong. By the end of 2024, the market share of the Islamic banking institutions (IBIs) in Pakistan had reached more than 20% in both assets and deposits, which was enough to indicate that the institutions had

moved out of the periphery to the center of the national Pakistan's financial system (State Bank of Pakistan in 2025).

This growth narrative however took a new and critical turn with the historic 2022 ruling of the Federal Shariat Court. The announcement by the court that there would be a total overhaul of the banking system to be a Riba-free one in a time span of five years has sparked new urgency on the sector. This ruling is not only an issue of law; it is an economic shock of immense proportions that is changing the business model of banks in a fundamental way. With the full-fledged Islamic banks ready to spearhead this change, it comes with either a two-fold challenge, they are not only obligated to quickly increase their outreach to meet the mandate of the FSC, but they are also expected to be financially viable.

The story of growth is usually different: the story of performance. Although the asset base of the Islamic banks has been rising exponentially, issues pertaining to their effectiveness of operations, ability to deal with risks as well as real profitability are still relevant. There were high margins in the early years due to the novelty of the products of the Islamic. The easy growth stage is no longer there as the market will become more mature and as the competition increases with the conventional giants. In Pakistan, the current macroeconomic environment of Islamic banks is volatile, with changes in the growth of the GDP, inflationary pressures, and policy uncertainty. In such a complicated environment, it is no longer merely a religious compliance issue as to whether these banks can bring about sustainable returns; it is more of survival and efficiency in terms of money.

So the context of this research is established on a basis of a sector in crossroads. It is a tale of a banking system which has managed to achieve volume and trust and now has to demonstrate its financial strength. With the nation progressing to the full Islamic economy paradigm, the financial condition of these institutions is a national economic security issue. This paper places

itself in this dynamic story but the particular internal and external drivers of their bottom lines in this new regulatory age.

1.2 Problem Statement

The banking sector has been in the process of a fundamental shift to Shariah-compliant finance due to recent legal and regulatory changes and most importantly the ruling by the Federal Shariat Court in 2022 that required the abolition of interest-based practices. The growth of Islamic banking has been very high and has today contributed a sizeable proportion of national financial system; however, little up-to-date and Pakistan-specific empirical data exists regarding whether this growth has resulted in sustainable financial performance. Current literature mainly uses obsolete data, is a combination of Islamic and conventional banks or an Islamic window, and considers a limited set of determinants, not answering certain critical policy-related questions, especially in the post-2022 context (Khan et al., 2023; Habib-ur-Rahman et al., 2020). Meanwhile, existing literature indicates that there is no definite agreement on whether macroeconomic factors or internal ones, including capital strength, asset quality, and operational efficiency influence bank profitability in emerging economies (Rahaman & Akhter, 2015). Such uncertainties undermine evidence-based decision-making by regulators and the bank management in a system-wide structural change. Based on this, the current paper will fill this empirical gap by seeking to understand the collective impacts of the key bank-specific and macroeconomic factors on the financial performance of full-fledged Islamic banks in Pakistan during the period between 2010 and 2025 with specific focus on the post-2022 policy change.

1.3 Research Questions

1. What is the impact of Capital Adequacy Ratio on the financial performance of full-fledged Islamic banks in Pakistan?
2. What is the effect of Credit Risk on the profitability of Islamic banks?
3. What is the relationship between Cost Efficiency and the ROA of Islamic banks?
4. What is the influence of Real GDP Growth on the stability and performance of Islamic banks?

1.4 Purpose of the Study

The Purpose and core aim of this quantitative research is, find out empirically the determinants of financial performance in the complete-fledged Islamic banking sector of Pakistan. Through a panel data method that will span the years 2010 to 2025, this study will identify and quantify the effects of significant internal / external variables on the profitability of banks.

In particular, the research will identify the effect of capital buffer by a bank as a safety net that attracts better performance or a cost that deters it. It is also meant to measure the sensitivity of the Islamic banks to credit risk and operational inefficiencies giving a clear picture of the quality of assets management. Moreover, it is aimed at examining the resilience of the sector to the macroeconomic shocks, that is, the volatility of GDP. In the end, this study will offer a good statistical model explaining the variation in Return on Assets (ROA) and hence offer valid insights that can be generalized and used in strategic decision making to facilitate the transition to a Riba-free economy.

1.5 Scope of the Study

The The research parameters will be geared towards a narrow and deep study of the determinants of financial performance of Islamic banking industry. Geographically, the applied study is confined strictly to the banking business in Pakistan which is under the specific regulatory and economic framework of the State Bank of Pakistan (SBP), and does not apply in the Islamic banks of other jurisdictions.

The study in question is limited to Full-Fledged Islamic Banks (IBs) that trade on the Pakistan Stock Exchange (PSX) in population and sample. To retain homogeneity of the sample and to conduct a proper financial analysis, the study is heavily biased so as to not include Islamic windows of conventional banks and Non-Bank Financial Institutions (NBFIs), since their capital structure and costs of operations are quite different with standalone Islamic banks.

The study spans 16-year longitudinal study between 2010 and 2025. This period is chosen to reflect the key points of the lifecycle of the industry, such as the post-2010 consolidation period, an economic crisis caused by the COVID-19 pandemic, and the major regulatory changes following the historic 2022 Federal Shariat Court decision regarding the elimination of Riba. Lastly, the research variables are constrained to the Return on Assets (ROA) as the key variable in financial performance and the explanatory variables are three bank-specific variables, namely, the Capital Adequacy Ratio (CAR), Non-Performing Financing (NPF) and Cost Efficiency (CE), and one macroeconomic variable, namely, the Real GDP Growth.

1.6 Significance of the Study

The research outcomes of this paper are of significant significance to the different stakeholders as part of the strategic positioning of the Islamic banking sector to the Pakistani economic agenda. In the case of regulatory agencies such as the SBP and the SECP, it is

important to know the profitability motivators when developing prudential laws as they implement the Shariah-compliant financial system roadmap. Knowledge of capital adequacy and credit risk will specifically help in establishing buffer requirements that will not suffocate the growth but will bring stability in the system. In a similar regard, the bank management and Boards of Directors can use this research to provide empirical evidence to base resources allocation. By establishing the comparative effect of efficiency of cost on profit and the quality of assets on profitability, the executives can retreat on strategic initiatives of either cost reduction or credit screening improvement as a way of maximizing shareholder value.

Investment wise, this research can serve as an insight to shareholders and investors on the factors that drive the returns of Islamic listed banks. It provides a model on which to appraise the long-term viability of such stocks beyond shallow growth rates. Lastly, the research is crucial to scholars and other researchers because it fills a major gap in the literature since only full-fledged Islamic banks have been considered in the post-2010 period. It adds value to the literature on the risk-return hypothesis in the sphere of Islamic finance and serves as a foundation to further studies on the topic of regulatory transition of the industry after 2022.

1.7 Outline of the Study

This study is designed to give a rational pattern of exploration of the factors which determine the performance of banks. After this introduction, the research moves to the detailed review of the current theoretical and empirical literature, which forms the conceptual framework and reveals the gap in the literature in the context of the Pakistani market. The research methodology is then outlined and reasons given as to why it was chosen to use the panel data approach, the particular econometric model, and the data collection process using audited financial statements. The statistical results are then given in the analysis part with

interpretations of the relationships between the dependent and the independent variables. Lastly, this research paper has concluded with a synthesis of the findings, implications of the study on policy and practice, limitations, and finally recommendations on the future research directions.

1.8 Definition of Terms

Return on Assets (ROA): This is a profitability ratio that shows the profitability of a company as compared to its assets. It is computed as Net Income/Total Assets (Khan et al., 2023). ROA is also used as a dependent variable in this research, which can be used as the financial performance.

Capital Adequacy Ratio (CAR): The ratio of available capital of a bank in terms of per cent of risk-weighted credit exposures of a bank. It is applied to guarantee depositor security and enhance effectiveness and stability of financial systems (SBP, 2025).

Non-Performing Financing (NPF): An amount of borrowed funds on which the debtor has failed to make his regular payments over a duration of 90 days and above. This is equivalent of Non-Performing Loans (NPLs) in Islamic banking and can be used as a proxy of credit risk (Rahaman and Akhter, 2015).

Cost Efficiency (CE): This indicator is used as a measure of the cost of running the bank against its revenue. It is generally computed as a ratio between the operating costs and the operating revenues. A small ratio means that it is more efficient.

Gross Domestic Product (GDP): The total financial worth or market worth of all the completed services and goods produced on the territory of the country during a particular time frame. This paper employs the real GDP growth rate as the proxy of the external macroeconomic environment.

CHAPTER 2: LITERATURE REVIEW

The banking industry serves as the nervous system of any contemporary economy which helps in the formation of capital and stability in the economy. In this realm, the Islamic banking has come out as not only a religious option but a strong, stable and competitive financial system. In a bid to determine the course of this industry especially in a developing economy such as Pakistan, there is a necessity to examine the factors that influence its performance in financial terms.

The chapter is a critical and systematic review of available empirical research on determinants of profitability in Islamic banks. The review utilizes the Funnel Technique by starting with a general analysis of world theoretical approaches to international evidence, by proceeding to regional analysis (South Asia and GCC), and then to the particular situation of the full-fledged Islamic banking industry in Pakistan.

The literature is thematically arranged and examines the effect of Capital Adequacy, Credit Risk, Cost Efficiency, and Macroeconomic conditions (GDP) on profitability. Moreover, this chapter recognizes the theoretical foundations, which are mainly the Resource-Based View (RBV) that justify the interaction between the internal resources of banks and their performance. The last part will be a synthesis of these findings in the chapter to outline the research gap that is crucial: the absence of post-2022 studies on full-fledged Islamic banks in Pakistan, which is why the current study is necessary.

2.1 Theoretical Foundation

In order to base the empirical inquiry, the research is based on the proven financial and management theories explaining the impact of particular variables on the performance of a bank.

2.1.1 Resource-Based View (RBV)

The study is based mainly on the Resource-Based View (RBV) of the firm. According to RBV, the competitive advantage and, therefore the high performance of a firm is mainly due to its internal resources and capabilities (Barney, 1991). The internal aspects of the banking industry, including capital buffers (CAR), asset quality control (low NPF) and operating efficiency (CE) are considered as bank-specific resources in the context of the banking sector. Banks that are good at these internal resource management will be able to create more Return on Assets (ROA) as compared to their counterparts irrespective of the external market conditions. This theory is the direct cause of the inclusion of bank-specific independent variables in this study.

2.1.2 Buffer Theory of Capital

In particular, focusing on the Capital Adequacy Ratio (CAR), the Buffer Theory implies that banks maintain capital levels that are larger than the regulatory required levels as a buffer against some unanticipated shocks. Though being capital endowed has its cost but the theory states that capital endowed banks have lower funding costs and less risks of bankruptcy resulting in sustainable long-term profitability1.

2.1.3 Hypothesis of Efficiency Structure Hypothesis (ESH)

When it comes to Cost Efficiency (CE), the Efficiency Structure Hypothesis (ESH) by Demsetz (1973) holds that the lower the costs are in a firm, the more efficient it is; and thus is able to gain more and more of the market share, and earn greater profits. According to this theory, there exists a positive correlation between efficiency and ROA (or negative correlation between the Cost-to-Income ratio and ROA).

2.1.4 Agency Theory

Agency Theory (Jensen & Meckling, 1976) looks at the relationship between the people running a bank (managers) and the people who own it shareholders. The basic idea is simple: sometimes managers don't do their job as well as they should.

In banking, this connects to what's called the "Bad Management Hypothesis." Basically, when managers are sloppy or don't pay enough attention, they fail to keep proper tabs on who they're lending money to. This leads to more loans going bad higher NPF which obviously hurts the bank's profits lower ROA.

So this theory helps explain why we expect to see credit risk dragging down bank performance it's often a management problem at its core.

2.2 Empirical Review

The empirical research on the factors of financial performance in banking industry is a big and changing subject. Although theoretical models such as the Resource-Based View (RBV) offer the relevant perspective within which these relationships can be seen, empirical data is what can be used to offer the quantification which is needed when making a policy or planning a strategic move. This part of the paper gives a thematic overview of the literature available in the field, dividing results into international and national evidence, respectively, that marks the global standard and the national specificities of the local market. The review is narrowed down to the four key determinants that were determined in this research namely Capital Adequacy Ratio (CAR), Credit Risk (NPF), Cost Efficiency (CE) and Real GDP Growth.

2.3 Theme 1: Capital Adequacy CAR and Its Influence on Islamic Banking Perfomance in Pakistan

The Capital Adequacy Ratio (CAR) has been one of the significant regulatory and financial factors in the Islamic banking industry in Pakistan during the years 20102025. CAR is the ratio of the regulatory capital in a bank to its risk-weighted assets and is used to indicate the capacity of a bank to incur unforeseen losses and still remain in business. Capital adequacy is of great concern to the Islamic banks especially due to their dependence on asset-backed and risk-sharing funding structures that expose Islamic banks to a variety of risks than a traditional bank.

Laws On the State Bank of Pakistan (SBP) side, it has always highlighted high capital buffers as a pillar of the financial stability. According to SBP Islamic Banking Bulletins, in most of the study period full-fledged Islamic banks in Pakistan tended to have CAR levels substantially above the minimum required by the regulation, especially at the beginning of the period of full expansion after 2010 (State Bank of Pakistan, 2016; State Bank of Pakistan, 2025a). The increased capital buffers were perceived to be needed to develop depositor confidence, enable growth of the balance sheet and to cushion the comparatively newer Islamic banking industry against systemic shocks.

The stabilizing effect of capital adequacy is empirically supported in Pakistan. Ayub and Javaid (2016) discover that Islamic banks that had a good capital base could easily expand their financing operations without necessarily reducing the financial soundness. Equally, Shaikh (2013) documents that capital strength contributed greatly to promote the growth and stability of Islamic banks in Pakistan, particularly when there was uncertainty in the economy. These results imply that CAR is more than a constraint of regulation, it is also a strategic resource that helps the banks to grow but to remain stable.

The connection between CAR and the profitability is not necessarily direct. Although the increase in capital may improve resilience and decrease chances of distress, it may also be costly. More capital is typically costly than deposits and excess capital can lower leverage and compressing returns in short term. The trade-off has been pointed out through the theoretical and empirical banking literature and it is specifically applicable to emerging markets like Pakistan where banks are under pressure to expand but within the regulation of prudent standards.

This trade-off is more subtle in the case of Islamic banking. The Islamic banks must ensure that financing operations are made in accordance with Shariah principles and this could restrict the type of investment opportunities available as opposed to conventional bank financing. This means that the capital that is not effectively invested in income producing Shariah-compliant assets can stay as idle and this will lower Return on Assets (ROA). This conditional impact is reported in Pakistan-centered research. Qureshi and Abbas (2019) demonstrate that although capital adequacy has a positive impact on the stability, its influence on profitability can vary depending on how effectively it is used. Banks that are able to invest capital in effective financing have a higher ROA, but excessive capital management can undermine short-term profitability in banks.

The Buffer Theory of Capital gives a good explanation to this behavior. This theory holds that banks maintain capital positions higher than minimums that are mandated by regulations to provide a kind of buffer stock against some unforeseen losses and regulatory action. Pakistan Islamic banks seem to have done this especially in times of macroeconomic instability like the 2018 slowdown and the COVID-19 shock. According to SBP bulletins of 202023, though credit risk and economic strains increased, Islamic banks mostly supported capital adequacy

on above-required levels, which enabled them to escape severe financial distress (State Bank of Pakistan, 2025a).

The implication of buffer capital on profitability is however ambivalent. Habib-ur-Rahman, Yousaf, and Tabassum (2020) discover that CAR is positively linked to profitability at a specific level, and its marginal utility decreases. This is an indication of diminishing returns to capital whereby, more capital is needed to enhance stability but not earnings proportionally. The understanding is especially applicable to the Islamic banking industry of Pakistan, which has already switched its swift development stage into a more mature and competitive market.

The recent SBP Islamic Banking Bulletins (December 2024; March and June 2025) demonstrate that overall levels of CAR across the industry have been firm in the face of inflationary pressure, elevated policy rates and macroeconomic uncertainty. Such bulletins also show that Islamic banks were still increasing their financing portfolios at this time which would imply that capital was not being held but actively deployed. This helps justify the thesis that it is the efficient use of capital that allows profitability results and not the magnitude of capital.

On managerial front, CAR has several ways of affecting profitability. Good capital bases help to boost confidence in the market, lower the cost of funding and accessibility of interbank and wholesale finance. The latter also enable banks to absorb credit losses without causing devastating effects to operations. Meanwhile, extreme capital conservativeness can restrict growth of assets and lowering of return on equity, which places pressure on shareholders. Islamic bank management should then strike a balance on the regulatory compliance, risk absorption and profitability goals in order to establish the optimal capital levels.

On the whole, the literature argues that CAR is mostly a stability anchor in the Islamic banking sector of Pakistan during the time frame of 20102025. It has a conditional and context-specific

influence on profitability. CAR promotes a high ROA when the capital is effectively invested in Shariah-compliant income-generating assets. Where capital is accumulated on a defensive basis without an equal increase in the assets, such a short-term influence on profitability can be slight or even adverse. These dynamics can motivate empirical specification that enables non-linear responses of CAR, e.g., adding a squared CAR term (CAR 2) to address the possible diminishing returns.

In sum, the capital adequacy in the system of Islamic banking in Pakistan serves two purposes, as it provides the financial stability but also has a determining effect on the profitability by way of interaction with the assets deployment and risk management. This conditional relationship has been critical to understand in the post-2022 regulatory climate, where Islamic banks should grow at an impressive rate and at the same time maintain good capital positions. This theme thus offers a good theoretical and empirical foundation to investigate CAR as one of the determinants of Islamic bank performance in Pakistan.

2.4 Theme 2: Credit Risk (Non Performing Financing) and Its Effect on Islamic Bank Profitability in Pakistan

It is well known that credit risk has been one of the most determinant factor in the profitability of banks and this is especially so in emerging economies where the information asymmetry, poor enforcement mechanisms, and macroeconomic fluctuations are increasing the default risk. The credit risk in the case of Islamic banking in Pakistan is generally quantified by the Non-Performing Financing (NPF) ratio that is used to quantify impaired Shariah-compliant financing exposures. During 20102025, credit risk has been at the forefront of full-fledged Islamic banks because of the speedy increase in balance sheets, the fluctuating economic conditions, and transforming regulatory demands. Contrary to the traditional banks, Islamic banks run on asset-based and trade-linked contracts, including Murabaha, Ijarah, Diminishing

Musharakah, and Salam. Although these contracts are meant to implement the association of financing and actual economic activity, they fail to exclude the risk of default. Impaired Islamic financing is categorised as Non-Performing Financing (NPF) by the State Bank of Pakistan (SBP), which is not a Non-Performing Loans (NPLs), though the implications on the economy are similar. Increased NPF directly reduces profit income in the banks, increases provisioning costs and capital pressure all of which are detrimental to Return on Assets (ROA) (State Bank of Pakistan, 2025a).

Credit Risk and Profitability: Credit and Profitability Conceptual Relationships.

The inverse correlation between the risk of credit and profitability is an established fact in the banking theory. The increase in NPF ratios means poor quality of assets, poor credit screening, or poor monitoring mechanisms. Accounting wise, impaired financing decreases recognition of income and provisioning that directly lowers the net profit. Balance-sheet wise, long-term credit-related deterioration limits the prospects of financing its activities and undermines the confidence of its investors and depositors.

Shariah restrictions also ensure that this relationship is strengthened in the Islamic banking. Islamic banks cannot depend on the interest compounding through penalty as opposed to conventional banks to compensate the defaults. Consequently, the Islamic banks are prone to revenue losses in case financing becomes non-performing. This is a structural aspect that necessitates the management of credit risk especially in the maintenance of profitability in the Islamic banking industry in Pakistan. Empirical literature on Pakistan is consistently finding statistically significant negative relationship between credit risk and Islamic bank profitability. Through panel information on Pakistani banks, Shaikh (2013) records that increased standards of impaired financing lower profitability and limit development in Islamic banks. This initial

finding is supported by more recent research using larger datasets and better econometric methods.

Using a panel dataset on both Islamic and conventional banks in Pakistan, by Siddiqui, Khan, and Abbas (2024), assets quality indicators have a strong negative impact on profitability, and the impact of these indicators is higher because of the nature of the contracts of Islamic banks. Equally, according to the studies by Khan, Muzammil, and Munawar (2023), NPF increase has a significant negative impact on the ROA and ROE of Pakistani Islam banks, despite accounting for the effects of liquidity and capital adequacy. Such results imply that credit risk is one of the prevailing performance results.

This conclusion is reinforced by studies which have done a thorough study of Islamic banks. According to Shaheen et al. (2024), credit risk is a major factor that contributes to financial instability of Islamic banks because increasing NPF ratios undermine profitability and resilience. The fact that the findings are consistent even when varying samples, time and methodological are used, shows the adverse impact of credit risk on profitability is strong in the Pakistani setting. The history of credit risk in the Islamic banking sector in Pakistan is inseparable with the rest of the macroeconomic factors. The example of the 20192021 period, which is characterized by slowing down the economy and the COVID-19 shock, is a clear example of how external shocks are converted into increased NPF and reduced profitability. This is the time when business interruptions, loss of income and strains on the supply-chain affected the ability of borrowers to make their repayments causing a visible rise in the non-performing financing throughout the banking system.

The SBP Islamic Banking Bulletins of 2020 to 2025 record an increase in NPF ratios and an increase in the provisioning requirements that reduced the profitability despite regulatory relief measures. Despite the Islamic banks demonstrating a relative higher resilience than part of their

conventional counterparts, the level of profitability was still significant. This episode shows that even asset-backed Islamic financing is prone to systemic economic strains.

After 2022, the dynamics of credit risks became more heterogeneous. Some of the Islamic banks enhanced the quality of assets by conducting more rigorous screening of credit and rebalancing their portfolio but some had to endure due to their inflation, exchange rates and high costs of financing. The SBP 2024 and 2025 bulletins depict an uneven recovery trend indicating that risk management practices bank-specific is a decisive factor in the determination of post-crisis performance. A key methodological problem that has been pointed out in the literature is the possibility of indigeneity between credit risk and profitability. Weak profitability can give way to loosen credit requirements by banks in a bid to boost returns in future, hence raising future NPF. On the other hand, increasing NPF will immediately decrease profitability by provisioning and loss of income. Such two directional dependency suggests that the statically regression models can calculate the actual effect of credit risk on ROA either underestimated or biased. Recent Pakistan studies are concerned with this issue, which is solved through the incorporation of lagged credit risk measures or dynamic panel estimators. There is evidence that lagged NPF produces a more pronounced and persistent negative impact on current profitability, which points to the fact that credit risk shocks have a long-term effect. This observation is especially true in the case of Islamic banks, in which recovery and restructuring possibilities can be constrained by Shariah considerations.

The review of the literature continuously underlines that the successful credit risk management is needed to maintain profitability in the Islamic banking sector in Pakistan. This is because strong pre-financing screening, diversification of the sector, proactive monitoring, and timely provisioning are presented as some of the managerial tools that can be used to control NPF. Regulative speaking, the changing prudential model of SBP, such as more rigorous

classification and provisioning policies, serves to manage systemic risk and, at the same time, exerts strain on short-term profitability.

In general, the empirical and institutional indications of the 2010-2025 contribute to the idea that credit risk indicated by the NPF ratio, is a fundamental factor of profitability among full-fledged Islamic banks in Pakistan. Increase in NPF ratios always decreases ROA by loss of income, high provisioning and capital pressure. Macroeconomic factors affect the degree of credit risk, but the degree of shock to profitability outcomes is determined by bank-specific risk management practices.

It can thus be seen in the literature that the anticipated relationship between NPF and ROA is strong and negative and hence the choice of credit risk as an important explanatory factor in the current study. It is also cognizant of the need to consider dynamic effects and possible indigeneity on empirically testing this relationship in the context of the Islamic banking industry of Pakistan.

2.5 Theme 3: DDP Growth as an External Driver of Islamic Banking Performance in Pakistan

The real GDP growth denotes the economic status overall in which Islamic banks can be found and is generally acclaimed as major external influence of the banking performance. As the case of Pakistan suggests, there have been changes in the GDP growth over the years 2010 to 2025, which has provided different operating conditions to Islamic banks, affecting financing demand, asset quality, and profitability. Islamic banks are still strongly connected with the actual economic activity despite being based on Shariah principles since their financial frameworks are asset-backed and trade-based. Consequently, the impact of variations in

economic growth on portfolios of financing volumes and quality has direct influence upon Return on Assets (ROA) in the end.

When there is an improvement in the economy, the growth in the GDP enhances business, investment and household income. All these conditions increase the demand of the Shariah-compliant financing product like Murabaha, Ijarah, and diminishing Musharakah. The more funding is required, the more Islamic banks are able to increase the earning assets, the better use of the available capital, and higher income is able to be obtained through financing business. Simultaneously, better economic conditions also contribute to the fact that borrowers have a higher repayment capacity, and the default risk is reduced, and the development of Non-Performing Financing (NPF) is restricted. This increase in income generation and the quality of assets provides a good climate of profitability. This mechanism is supported by the empirical evidence in Pakistan. According to Habib-ur-Rahman, Yousaf, and Tabassum (2020), despite the bank-specific characteristics, the increase in GDP has statistically significant positive effect on the profitability of banks. Their findings show that macroeconomic growth has positive impact on profitability avenues of both Islamic and conventional banks, but the impact is more pronounced in the former because it has a more direct connection to the real-sector transactions.

The correlation of GDP growth, and the performance of Islamic banks is not contemporaneous. Economic fluctuations tend to affect the banking performance in retrospect. Indicatively, GDP growth increases could initially be converted into financing demand that subsequently is converted into increased income and enhanced ROA. On the other hand, recessions can at first decrease the financing demand and then later on, the asset quality and increased provisioning expenses during the later stages. This is especially applicable in the case of Islamic banks since the recognition of profits in most contracts that are Shariah compliant is spread. In studies based in Pakistan, it is often emphasized that lagged macroeconomic variables matter in order

to capture these delayed effects. Lagged GDP growth has been applied in empirical models in order to explain the timing lapse between macroeconomic shocks and their effect on bank profitability.

The 2019-2021 period gives a good example of how a poor economic development impacts negatively on the performance of Islamic banks in Pakistan. The pre-COVID-19 economic slowdown followed by the pandemic-related shrinkage brought a great disruption to the business activity, the turnover of trade, and the income of households. The State Bank of Pakistan (SBP) Bulletins on Islamic Banking in this period record the deceleration of the growth of financing, increase in credit stress and high provisioning in the banking sector. The plunge in economic activity and the challenge experienced by existing customers in repaying their debts put pressure on the profitability of Islamic banks as a lack of new financing opportunities to finance demand weakened their performance. Even when the effect was softened by regulatory relief measures, the ROA of most banks dropped, which proved that the performance of Islamic banks depends on the macroeconomic situation.

Nevertheless, these challenges are overshadowed by the post-2022 environment showing that the correlation between the growth of GDP and the performance of Islamic banks may be moderated with the help of regulatory and structural forces. The increasing demand of Islamic banking products in an unstable macroeconomic environment occurred after the verdict of the 2022 Federal Shariat Court that required the shift towards a riba-free financial system. According to SBP bulletins of 20222025, the assets and deposits of Islamic banking are expected to continue rising, with the help of policy efforts and increased trust of the populace in Shariah-compliant banking. This implies that although the rate of GDP growth will remain one of the most crucial factors in determining profitability, this effect is not constant over time

and can be affected by institutional changes, regulation in favor, and consumer preference changes.

The other significant point of the relationship between the GDP and the profitability is that it interacts with the bank-specific characteristics. A higher and more diversified Islamic banks would be in a better position to take advantage of the expansions in economies owing to distribution networks, extended product offering and risk management frameworks. Smaller banks on the other hand can be more susceptible in times of economic downturn due to lack of diversification and expose themselves to particular sectors. The research on Pakistan is starting to acknowledge the fact that effects of macroeconomics need not be analyzes by themselves but in the context of internal bank factors like capital adequacy, cost efficiency and quality of assets. The impact of Muslim banks on the interpretations of Islamic banking This view of interaction is especially applicable to Islamic banks, whereby the impact of the strategic decisions about financing modes and sectoral exposure can either multiply or reduce the impact of GDP changes.

In general, the literature shows that the real GDP growth has a considerable and positive influence on the financial performance of Islamic banks in Pakistan during the years 20102025. Nevertheless, this relationship is not always as strong or timely depending on economic cycles and institutional environment. Stable growth bouts are useful in supporting profitability by increasing financing demand and bettering the quality of assets whereas economic recessions put pressure on ROA by decreasing income and increasing the risk of credit. According to recent developments, regulatory encouragement and growing adoption of Islamic finance have the ability to partially recompense the adverse macroeconomic conditions, yet these factors do not decrease total reliance of the Islamic banking performance on the economy at large. These results support the identification of the growth of GDP as an important explanatory variable in

this study and the use of both contemporaneous and lagged effects empirical testing to include all the macroeconomic effects of the profitability of Islamic banks in Pakistan.

2.6. Research Gap:

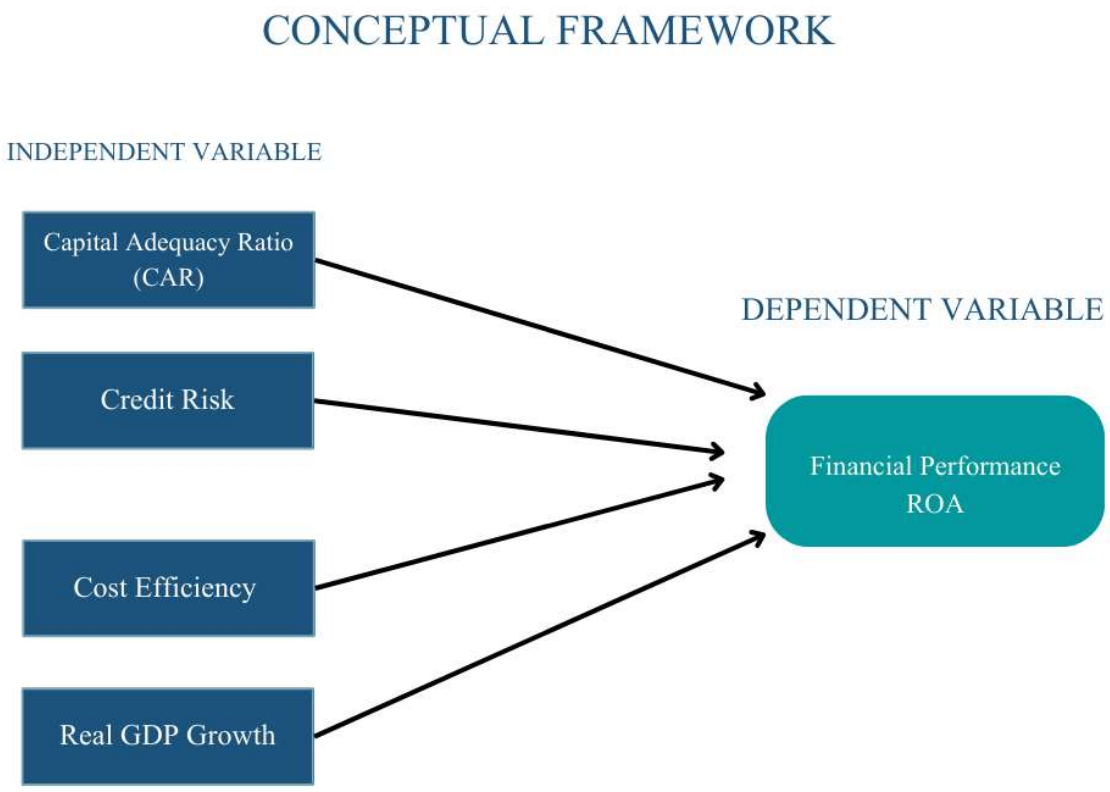
Although the GDP is widely recognized as a macroeconomic determinant of any bank research, Pakistan-specific research has not explored the Islamic banking much with the inclusion of the GDP and other important bank-specific variables including Capital Adequacy Ratio (CAR), Non-Performing Financing (NPF), and Cost Efficiency under one empirical model. Furthermore, the current literature is mainly based on the pre-2022 data and fails to observe how the associations between the determinants of profitability altered after the Federal Shariat Court ruling of 2022. The gap that this paper will fill is the collaborative analysis of internal and external factors of profitability of full-fledged Islamic banks in Pakistan in the long term, 2010 to 2025.

2.7 Conceptual Framework

Due to the theoretical assumptions (RBV) and the empirical review, the proposed study offers the following conceptual framework. According to the framework, Financial Performance (ROA) is the dependent variable, and it depends on three internal bank specific variables and one environmental macroeconomic variable.

Figure 1

Conceptual Framework Model



2.8 Research Hypotheses

H1: Capitals Adequacy Ratio (CAR) has a positive correlation and significant to the Return on Assets (ROA) of the full-fledged Islamic banks in Pakistan.

H2: Non-Performing Financing (NPF) is significantly negatively related to the Return on Assets (ROA) of the full-fledged Islamic banks in Pakistan.

H3: The relationship between Cost Efficiency in the form of cost to income ratio and the Return on Assets (ROA) of the full-fledged Islamic banks in Pakistan is found to be significantly negative.

H4: There is a strong positive correlation between the Real GDP growth and the Return on Assets (ROA) of full-fledged Islamic banks in Pakistan.

CHAPTER 3: RESEARCH METHODOLOGY

The methodology used to research the determinants of financial performance of the full-fledged Islamic banking industry in Pakistan. It provides research philosophy, design, and strategies embraced in order to make the findings valid and reliable. The paper has a systematic quantitative design where it employs panel evidence based on audited financial statements and macroeconomic variables to test the hypothesized relations of internal and external variables and bank profitability.

3.1 Research Approach

A choice of a research approach determines the logic of inquiry and the route that will be followed in the quest to address the research questions. This paper is anchored on a particular philosophy, as well as on a logical methodology, which is consistent with the "Research Onion" model Saunders et al 2019.

Table 1

Sampled Islamic Banks

S. No.	Bank Name	Status	Data Availability (2010-2025)
1	Meezan Bank Limited	Included	Yes
2	Bank Islami Pakistan Limited	Included	Yes
3	Al Baraka Bank (Pakistan)	Included	Yes
4	Dubai Islamic Bank Pakistan	Included	Yes
5	MCB Islamic Bank	Excluded	Data insufficient

3.1.1 Research worldview: Positivism.

In this research, the Positivist research philosophy is used. Positivism suggests the use of natural science method to social reality. It presupposes that reality is objective and is external to the researcher and can be determined with the help of rigorous observation and statistical analysis.

Financial performance (ROA), capital adequacy (CAR) and credit risk (NPF) can be considered observable and objective facts, and they do not depend on the perception of the researcher. This study takes the method of positivism where using large data sets and statistical hypothesis testing, a researcher aims to identify law-like generalizations and causal relationships between variables and ensure that the findings are replicable and are not biased by the researcher.

3.1.2 Research Methodology: Deductive.

Study is found on a Deductive approach, as is characteristic of the positivist philosophy. The deductive approach is the one that proceeds to the specific starting with the well known theories (Resource-Based View and Agency Theory) to create a conceptual framework and come up with specific hypotheses. These hypotheses are later put to test via the collection of data to either disprove or prove the assumptions made by the theory. This is unlike an inductive approach that constructs theory out of observations. Since the determinants of bank profitability have been theorized in global literature, deductive approach is the most suitable strategy that will test these theories in a particular context within the Islamic banking of Pakistan (2010 to 2025).

3.2 Research Design

Research design acts as a guideline in achieving the objectives of the research and answering the questions.

3.2.1 Research Strategy

The research paper uses a Quantitative Archival Strategy. This includes the use of numerical data obtained out of the documents of available archives namely the audited annual reports of banks and the official publications of the State Bank of Pakistan and the World Bank. The reason why this strategy is selected is that variables of interest (e.g., Net Income, Total Assets, GDP Growth) are standardized financial variables that are systematically recorded and publicly available making it possible to longitudinally analyze them.

3.2.2 Method of Choice: Mono-Method Quantitative.

The study is based on a Mono-Method Quantitative choice. This means that the process of data collection and analysis is purely quantitative and there is no combination of the qualitative approach (interviews or focus groups). The focus on using one quantitative approach is supported by the fact that the research seeks to estimate the magnitude and direction of relationships between financial ratios which entails statistical accuracy as opposed to the interpretive exploration offered by qualitative or mixed-method research approaches.

3.2.3 Time Horizon Longitudinal (Panel Data).

This study has a longitudinal time horizon of the study, which involves usage of Panel Data structure. In contrast to the cross-sectional study where the researcher views the data at one point in time, in the panel design, the researcher views a number of entities (banks) at a number of time points (years).

The paper spans 16 years of 2010 to 2025. This period is important because it encompasses several economic cycles in Pakistan such as the post-2010 phase of consolidation, the COVID-19 economic shock, and the changes in the structure that happened after the 2022 Federal Shariat Court ruling. Kitchen data is better to use in this analysis because it gives more valuable data.

3.2.4. Description and Measurement of Variables:

The variables to be employed in the study were chosen due to their popularity among scholars in the empirical literature. Each variable will be measured using a proxy as in the following table.

Table 2
Description of Variables

Variable	*Measurement / Formula*	*Unit*	*Expected Relation*	*Source*
ROA (Dependent)	Net Income divided by Total Assets	Percent	N/A	Audited Reports; SBP 2025a
GDP (Independent)	Annual percentage change in Real GDP	Percent	Positive (+)	World Bank; SBP
CAR (Independent)	Total Regulatory Capital divided by Risk Weighted Assets	Percent	Positive (Conditional)	SBP Prudential Regs
NPF (Credit Risk)	Non-Performing Financing divided by Gross Financing	Percent	Negative (-)	SBP; Bank Reports
CE (Efficiency)	Operating Expenses divided by Operating Income	Percent	Negative (-)	Audited Reports
Bank Size	Natural Logarithm of Total Assets (Log TA)	Log	Ambiguous	Audited Reports
Liquidity	Liquid Assets divided by Total Assets	Percent	Mixed (+/-)	Audited Reports
LDR (Intermediation)	Gross Financing divided by Total Deposits	Percent	Mixed (+/-)	Audited Reports
Post_2022 (Dummy)	Binary: 1 for years 2022 and after, 0 otherwise	Binary	Structural Change	Constructed

3.3 Design Sample

3.3.1 Targeted Population

Study will target the Pakistani Islamic Banking Institutions. In the current regulatory environment, this will be full-fledged Islamic banks and independent branches of conventional banks that offer Islamic banking.

Sampling Technique: Non-Probability (Purposive).

The Non-Probability Purposive techniques of sample is we will used in this study. Reasoning sampling enables the researcher to choose cases which are the most appropriate in answering the research questions due to certain criteria.

Exclusion Criteria: There are no Islamic Windows of conventional banks in the study that are chosen deliberately.

Rationale: Islamic windows exist under the umbrella of parent conventional banks, and share capital bases, oversight by boards and frequently cost structure. Their inclusion would bring in heterogeneity, which would skew the examination of the actual Shariah-compliant financial performance.

Inclusion Criteria: The sample will be limited to Full-Fledged Islamic Banks operating in the Pakistan Stock Exchange (PSX) most of the time during the study period.

3.3.3 Size of Sample

According to the purposive criterion, the sample will be composed of the Full-Fledged Islamic Banks in Pakistan (e.g., Meezan Bank, BankIslami, Al Baraka Bank, etc.). This produces a balanced or unbalanced panel (based on the listing dates) of 5-6 cross-sectional units observed

in 16 years, which produces approximately 80-90 bank-year observations. This is a reasonable size of a sample that can be used in panel regression analysis to produce results with statistical significance (Wooldridge, 2010).

3.4 Instrumentation and Sources of Data.

The data extraction protocol is the instrument in this study because it is based on secondary data and serves to obtain information about official documents in the study.

3.4.1 Sources of Data

Internal data regarding ROA, CAR, NPF, Cost Efficiency, and Total Assets is sourced directly from the Audited Annual Reports of the respective banks and the Financial Statement Analysis of the Financial Sector published by the State Bank of Pakistan (SBP).

External macroeconomic data, specifically Real GDP Growth, is obtained from the World Bank Development Indicators (WDI) database.

The data retrieval process involves downloading annual reports for all sampled banks from their official websites and the Pakistan Stock Exchange (PSX) portal for the period 2010 to 2025.

Essential financial figures such as Net Profit, Total Equity, Total Assets, Non-Performing Financing, and Operating Expenses are manually extracted and recorded into a structured Microsoft Excel database.

Raw financial data is transformed into financial ratios (e.g., calculating ROA as Net Income / Total Assets) strictly in line with SBP definitions.

The final dataset is screened for missing values and outliers, and where 2025 annual data for a specific bank is unavailable, SBP quarterly **sector aggregates** are used as a reliable proxy to complete the panel.

3.5 Conceptual Framework

This framework shows the association between the IV (determinants) and the DV (performance).

Dependent Variable (DV): Return on Assets

Independent Variables (IV) Capital Adequacy Ratio , Non-Performing Financing , Cost Efficiency , and Gross Domestic Product .

The variables will be operationalized in the following manner.

The table below identifies the measurement of each variable in line with the base paper and conventional banking literature.

Table 3

Measurement of Variables

Variable Type	Variable Name	Symbol	Operationalization / Formula	Expected Sign
Dependent	Financial Performance	**ROA**	Net Income / by Total Assets (x 100)	N/A
Independent	Capital Adequacy	**CAR**	Regulatory Capital / by Risk Weighted Assets (x 100)	Positive (+)
Independent	Credit Risk	**NPF**	Non-Performing Financing divided by Gross Financing (x 100)	Negative (-)
Independent	Cost Efficiency	**CE**	Operating Expenses divided by Operating Income (x 100)	Negative (-)
Independent	Economic Growth	**GDP**	Early percentage growth rate of real GDP	Positive (+)

3.6 Statistical Techniques

The EViews or Stata software will be used in data analysis. The analysis shall go through in three phases:

3.6.1 Descriptive Statistics

The summary of the basic features of the data will be conducted through descriptive analysis. This involves finding out the Mean, Median, Standard Deviation, Min and Max of all the variables. The step will assist in the realization of the central tendencies and volatility of the Islamic banking performance within the chosen period.

3.6.2 Correlation Analysis

The level plus direction of the linear relationship of variables will be tested with a Pearson Correlation Matrix. Importantly, Multicollinearity is identified with the help of this step. When correlation coefficient between two independent variables is more than 0.8, it will be an indicator of the possibility of the multicollinearity, which possibly may need Variable Inflation Factor (VIF) testing.

3.6.3 Regression Analysis

test the study's hypotheses, Panel Data Regression will be employed. This method is selected as it allows for the analysis of data across two dimensions: cross-sectional (across different banks) and longitudinal (over time). The general regression equation is specified as follows:

Financial Performance (ROA) = **Intercept** + (**Capital Adequacy** x B1) + (**Credit Risk** x B2) + (**Cost Efficiency** x B3) + (**Economic Growth** x B4) + **Error Term**

Where:

ROA: ROA for bank i at time t (Dependent Variable)

β1 – β4: Coefficients of the independent variables

CAR: Capital Adequacy Ratio

NPF: Non-Performing Financing Ratio (Credit Risk)

CE: Cost Efficiency Cost-to-Income Ratio

GDP: Actual Gross Domestic Product Growth

Table 4

Research Matrix

Research Question	**Hypothesis**	**Variable (Proxy)**	**Analysis Method**
RQ1: To what extent does **Capital Adequacy** contribute to the financial performance of Islamic banks?	**H_1:** There is a significant positive relationship between Capital Adequacy Ratio (CAR) and ROA.	Capital Adequacy Ratio (**CAR**)	Panel Data Regression
RQ2: How does **Credit Risk** impact the profitability of Full-Fledged Islamic banks?	**H_2:** Non-Performing Financing (NPF) has a significant negative impact on ROA.	Non-Performing Financing (**NPF**)	Panel Data Regression
RQ3: Does operational **Cost Efficiency** significantly affect the banks' returns?	**H_3:** Cost Efficiency (CE) has a significant negative relationship with ROA (Lower costs = Higher Profit).	Cost Efficiency (**CE**)	Panel Data Regression
RQ4: What is the relationship between the country's **Economic Growth** and bank profitability?	**H_4:** Real GDP Growth has a significant positive impact on ROA.	Real GDP Growth (**GDP**)	Panel Data Regression

3.6.4 Pre-Diagnostic Tests

To verify the validity of the regression findings (BLUE - Best Linear Unbiased Estimator), the following diagnostic tests will be done:

Stationarity Hypothesis: The Augmented Dickey-Fuller (ADF) test will be employed to determine the presence or absence of unit roots to ensure that the data is not stationary so that we do not have spurious regression results.

Heteroscedasticity: Modified Wald Test or Breusch-Pagan test will be applied to test whether the variance of errors is the same. In case of heteroscedasticity, Robust Standard Errors will be used.

Autocorrelation: The Wooldridge test will be used to test whether there is any autocorrelation among the error terms with time.

Cross-Sectional Dependence: Breusch-Pagan LM test will be used to confirm whether or not there is some correlation between residuals across the various banks.

3.7 Plan of Action

This study research is divided into two stages. Phase I (FYP-1) was introduction, literature review and research methodology. Phase II (Phase II/FYP-2) will be the following stage, and it will take place within the next semester and will be focused on data execution, statistical analysis, and final interpretation.

Data Collection and Cleaning (Weeks 1 to 4) The first phase is concerned with an entire extraction of financial information regarding the 2010 to 2025 annual reports of the sampled Islamic banks (Meezan, BankIslami, Al Baraka, Dubai Islamic) in terms of Net Income, Total Assets, Equity, NPFs, and Operating Expenses. At the same time, macroeconomic variables

on the growth rates of Real GDP will be obtained through the World Bank Development Indicators. Collected panel data will then be programmed in Microsoft Excel and EViews in order to fill any missing values and confirm the existence of outliers prior to the analysis.

Data Analysis and Diagnostic Testing (Weeks 5 to 8) In this time, the study shall go to the statistical testing. To summarize the variables, the descriptive statistics (Mean, Median, and Standard Deviation) will be created at the first stage. This will be followed by the diagnostic tests such as Augmented Dickey Fuller (ADF) test of stationarity, Variance Inflation Factor (VIF) of multicollinearity and the standard tests of heteroscedasticity and autocorrelation to verify that OLS assumptions are satisfied. Lastly, the Hausman Test will also be undertaken in order to determine the right estimation model, Fixed Effects (FE), and Random Effects (RE) models.

Results and Discussion (Weeks 9-12) The period is used to conduct empirical tests of hypotheses. The panel data regression will be implemented to measure H1, H2, H3, and H4 trying to find out whether Capital Adequacy, Credit Risk, Cost Efficiency, and GDP are significant factors in ROA. The coefficients and p-values will be understood in the context of the Pakistani Islamic banking industry and the ramifications of the 2022 Federal Shariat Court (FSC) ruling, in particular. The period ends with the writing of Chapter 4 (Results and Findings) with interpretation tables and figures.

Conclusion and Final Submission (Weeks 13 to 16) This will be the final part in writing Chapter 5 which will be the conclusion and policy implications on the State Bank of Pakistan (SBP) regarding the recommendations on what should be done with the bank management based on the empirical evidence. A final review of the entire thesis (Chapters 1 to 5) will be done to ensure that it is in accordance with SZABIST guidelines on formatting the thesis and

that plagiarism is clear. The final stage of the project will involve preparation of presentation material that will be used during the end defense before the evaluation committee.

3.8 Gantt Chart

Table 5

Activity / Weeks	1-2	3-4	5-6	7-8	9-10	11-12	13-14	15-16
Data Collection	X	X						
Data Cleaning		X	X					
Descriptive & Diagnostic Tests			X	X				
Regression Analysis					X			
Drafting Chapter 4 (Results)					X	X		
Drafting Chapter 5 (Conclusion)							X	
Final Formatting & Plagiarism							X	X
Final Submission & Defense								X

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